

MODULE 1

INDUSTRY OVERVIEW

CHAPTER 1

The Investment Industry: A Top-Down View

**LESSON 1 :
INTRODUCTION**

**LESSON 2 : THE
FINANCIAL SERVICES
INDUSTRY**

**LESSON 3 : FINANCIAL
INSTITUTIONS**

**LESSON 4 :
HOW ECONOMIES
BENEFIT FROM THE
EXISTENCE OF THE
INVESTMENT INDUSTRY**

**LESSON 5 : HOW
INVESTORS BENEFIT FROM
THE EXISTENCE OF THE
INVESTMENT INDUSTRY**

**LESSON 6:
INVESTMENT
INDUSTRY
PARTICIPANTS**

**LESSON 7: KEY FORCES
DRIVING THE
INVESTMENT INDUSTRY**

CHAPTER 1

The Investment Industry: A Top-Down View



LESSON 1 :
INTRODUCTION

LESSON 2 : THE FINANCIAL
SERVICES INDUSTRY

LESSON 3 : FINANCIAL
INSTITUTIONS

**LESSON 4 :
HOW ECONOMIES
BENEFIT FROM THE
EXISTENCE OF THE
INVESTMENT INDUSTRY**

LESSON 5 : HOW
INVESTORS BENEFIT FROM
THE EXISTENCE OF THE
INVESTMENT INDUSTRY

LESSON 6:
INVESTMENT INDUSTRY
PARTICIPANTS

LESSON 7: KEY FORCES
DRIVING THE
INVESTMENT INDUSTRY

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

Investment Industry Overview

- The investment industry is a specialized subset of the broader financial services industry.
- Its core role is to help savers invest their money and help spenders raise capital in financial markets.
- It includes all key participants involved in facilitating the flow of funds between savers and borrowers.
- Major participants—such as different types of investors and service providers—are described in Section 6 of the chapter.
- The specific activities and functions of these service providers are examined in detail in the Structure of the Investment Industry chapter.

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

4.1 Economic Systems — Summary

General Concepts

- The investment industry functions **within broader economic systems**, which differ across countries.
- Economic systems range from **pure capitalism** to **centrally planned economies**.
- Main goal of all systems: **efficient allocation of scarce resources** to their most productive uses.

Scarcity & Resource Allocation

- Resources needed for production include **labour, real assets, and financial capital**.
- Human wants are **unlimited**, but resources are **limited**, requiring choices.
- Scarcity forces decisions at every level:
 - Individuals (e.g., food vs. holiday)
 - Companies (existing product vs. new product)
 - Governments (healthcare vs. defence vs. infrastructure)

Three Fundamental Economic Questions

Every economic system must answer:

- 1.What** goods/services should be produced?
- 2.How** should they be produced?
- 3.Who** should receive them?

- Efficient allocation occurs when scarce resources satisfy **consumer needs** most effectively.

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

4.1 Economic Systems — Summary

Complementary Products

- Complementary products are goods that are used together.
- When the price of one complementary good decreases, demand for both products increases.
 - Example: Ink cartridges and printing paper
 - If ink cartridges become cheaper → people print more → buy more ink + more paper.
- Demand curves for complementary products move in the same direction.

Three Fundamental Economic Questions

Every economic system must answer:

1. What goods/services should be produced?
2. How should they be produced?
3. Who should receive them?

- Efficient allocation occurs when scarce resources satisfy consumer needs most effectively.

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

4.1 Economic Systems — Summary

Capitalism

- Promotes private ownership of production and market-driven allocation of resources.
- In pure capitalism:
 - No government intervention.
 - Individuals and companies freely decide production and pricing.
 - Efficiency leads to economic growth and societal benefits.

Reality of Economic Systems

- Pure free-market capitalism exists only in theory.
- In practice, governments always play a role, but the extent varies:
 - Minimal involvement in many Western economies.
 - High government control in resource-dependent economies (e.g., some Middle Eastern, African, South American nations).
 - Transition economies shift from planned to market systems.
- China = State Capitalism:
 - Significant government ownership of major businesses.
 - Private businesses and market competition also present and growing.

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

How the Investment Industry Fosters Economic Growth

Role of the Investment Industry

- Channels funds from savers to individuals, companies, and governments that need money for business expansion and projects.
- Enhances the efficient allocation of scarce resources in the economy.

Why the Investment Industry Is Essential

- Without it, savers would spend excessive time and resources searching for suitable investments, and companies would spend time searching for investors instead of improving business.
- This inefficiency would reduce economic productivity and growth.

Information Provision

- Investment professionals gather, process, and analyse information about:
 - Economies
 - Companies
 - Governments
 - Real and financial assets
- Helps investors determine the true value of investments.

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

How the Investment Industry Fosters Economic Growth

Packaging Investment Opportunities

- Creates investment products and services tailored to investor needs.
- Makes it easier for savers to invest in diversified, well-structured products.
- Examples: mutual funds, ETFs, bonds, structured products, etc.

Providing Liquidity

- Liquidity = ability to buy/sell assets quickly **without significantly affecting the price**.
- The investment industry enhances liquidity through:
 - Actively traded markets
 - Market makers
 - Trading platforms
- High liquidity gives investors **confidence** that they can trade fairly and efficiently.

LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :
INTRODUCTION

LESSON 2 : HOW
THE INVESTMENT
INDUSTRY
PROMOTES
SUCCESSFUL
INVESTING

LESSON 3 :
FINANCIAL
PLANNING
SERVICES

LESSON 4 :
INVESTMENT
MANAGEMENT
SERVICES

LESSON 5 :
INVESTMENT
INFORMATION
SERVICES

LESSON 6:
TRADING
SERVICES

LESSON 7:
ORGANISATION
OF FIRMS IN
THE
INVESTMENT
INDUSTRY

How the Investment Industry Fosters Economic Growth

Impact on Economic Growth

- By improving access to capital, information, liquidity, and efficient allocation:
 - More funds flow into productive investments.
 - Businesses expand and innovate.
 - Economic growth increases.
 - Society benefits through more jobs, better services, and higher living standards.